

LoanServe — Personal Loan Terms and Conditions

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Scope and Application

These terms govern every personal loan sanctioned by LoanServe to a salaried or self employed resident individual without collateral. A personal loan is not granted for the purchase of a property, a vehicle or gold, each of which has a secured product of its own. The terms apply from the date of disbursal and continue until the account is closed. A personal loan is not granted jointly with a co-applicant who has no independent income.

Loan Parameters

The minimum personal loan amount is Rs 50,000 and the maximum is Rs 15,00,000. Personal loan tenures of 12, 24, 36, 48 and 60 months are offered. A processing fee of 1.50 percent of the sanctioned amount applies to personal loans.

Nature of Facility

The personal loan is an unsecured facility and no collateral is taken. The end use of a personal loan must not include speculative investment.

Disbursal

Personal loans are disbursed to the borrower's registered bank account within two working days of sanction.

Charges and Fees

A charge of Rs 600 applies for issue of a duplicate loan agreement or a duplicate repayment schedule. An instalment date change requested by the borrower attracts a charge of Rs 400 and is permitted once in a financial year. A charge of Rs 350 applies for a certificate of outstanding issued for a purpose other than income tax. No charge is levied for a statement of account downloaded from the customer portal.

End Use and Declarations

The borrower must declare the purpose of the loan at application and must not apply the funds to any speculative purpose. The funds must not be used for the purchase of securities, for lending onward, or for any activity prohibited by law. LoanServe may call for evidence of end use where the sanctioned amount exceeds Rs 10,00,000. A false declaration of end use entitles LoanServe to recall the entire outstanding on thirty days notice.

Repayment and Prepayment

Repayment begins on the instalment due date recorded in the sanction letter, which falls in the month after disbursal. The instalment is collected by automated debit against the mandate registered at sanction. Reducing or closing a personal loan early follows the Prepayment and Foreclosure Policy. Because the facility is unsecured, a foreclosure charge applies where the loan is closed within twelve months of disbursal.

Closure

On full repayment a no dues certificate is issued within seven working days and the credit bureau record is updated within thirty days. The closure of the account does not by itself cancel the repayment mandate, which the borrower should withdraw with their bank. Where an excess payment has been received, the excess is refunded to the registered bank account within fifteen working days.

Definitions

'Unsecured facility' means a loan granted without collateral or third party security. 'End use' means the purpose to which the borrower puts the disbursed amount.

Exceptions and Discretion

The debt to income ceiling of 0.45 may be relaxed to 0.50 for an applicant with a bureau score above 800 and an unbroken repayment record of three years. A tenure beyond 60 months is not offered on an unsecured facility. A second personal loan is not sanctioned while an existing personal loan has fewer than twelve instalments paid. Any relaxation is recorded in the credit note for that account.

Records and Evidence

Income documents, the end use declaration and the bureau report drawn at assessment are retained for the life of the loan and for eight years after closure. The recorded consent for the repayment mandate is retained until the mandate is withdrawn. A borrower may obtain a copy of their own end use declaration on written request.

Related Policies

The Personal Loan Terms and Conditions should be read with: Interest Rate Policy, Insurance Linkage Policy.

Regulatory and Compliance Notes

These terms follow the fair practices code applicable to unsecured retail lending and the directions on transparent pricing. The annualised percentage rate is disclosed in the key facts statement before the borrower accepts the offer. A borrower may exit the facility within the cooling off period stated in the key facts statement by repaying the principal and the interest accrued.

Review and Governance

Issued by the Personal Loans desk and reviewed each year alongside the unsecured pricing band.